The Live Auction App Where People Can Bid ‘Til They’re Broke

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AI Executive Summary

1. Core Thesis: The WhatNot live auction platform is functioning as a frictionless, addictive gambling mechanism rather than traditional retail shopping, leading to severe financial distress for users who lack structural restraint tools. By combining social media engagement, countdown timers, and aggressive hosting styles with unsealed "break" auctions, the app bypasses standard consumer protections. While the company defends its model by emphasizing that buyers receive physical goods (unlike slot machines), regulators and consumers are increasingly treating high-risk bidding as illegal lotteries or gambling enterprises, prompting legal challenges and a push for mandatory spending guardrails.

2. Key Arguments & Data:

3. **User Financial Impact:** Sean Harding spent **$1,362,687.31** in four months; peak daily spending reached **$12,000**. He used his company credit card to fund bids secretly and removed pages from his wife's credit report to hide two personal loans ($12k total).
4. **Platform Metrics:** WhatNot holds approximately **60%** of the live commerce market in North America and Europe. The company takes a **6% average cut** per sale and was valued at **$20 billion** in its latest funding round (late 2024/early 2025).
5. **Mechanism of Addiction:**
    - Removal of transaction friction: No cart accumulation, no confirmation screens until the bid wins.
    - "Sudden death steal" auctions where bids rise rapidly with countdowns.
    - Aggressive host tactics ("Come on chat," "Wake up").
    - **4%** of sellers use "breaks" (unopened boxes); however, buyers often spend thousands on single cards without knowing the contents.
6. **Legal & Regulatory Environment:**
    - A consumer protection attorney filed arbitration against WhatNot representing **70+ clients**.

    - Allegations claim the app operates illegal lotteries under California law and violates racketeering laws due to the "unpaid for" nature of card breaks.
    - WhatNot rejects these allegations, arguing users walk away with items (vs. empty hands from casinos).

7. **Company Controls:** Recent testing includes optional spending limits, watch time caps, pause spending tools, and potential passcode requirements for purchases.

8. Actionable Takeaways:

9. **Identify Triggers:** Recognize the psychological triggers of impulse bidding, such as countdown timers, chat room chatter, and high-energy music that lower inhibitions about spending.
10. **Implement External Guardrails:** If prone to impulsive buying, install external spending limits on apps or enable "cooling-off" periods before transaction confirmations.
11. **Monitor Break Auctions:** Treat unopened box auctions ("breaks") with extreme caution due to the unpredictability of value; do not bid against a price you cannot afford to lose if it affects your financial stability.
12. **Seek Professional Help:** If spending behavior feels uncontrollable or involves using credit cards and loans to recover losses, seek support immediately; the transcript notes recovery groups (like Collectors MD) are available for those struggling with compulsive spending related to hobbies.

Full Transcript

When Sean Harding was a kid back in the early 1990s, he was obsessed with baseball. I just grew up loving baseball. You know, playing catch, watching baseball, playing baseball. Here's a pitch on the way, a swing and a belt. Way back, Blue Jays. My favorite team when I was a kid was the Toronto Blue Jays.

They won the World Series, and it was just so cool, and I just loved it. Touch them all, Joe! You'll never hit a bigger home run in your life. And like a lot of kids who love baseball, Sean was also really into baseball cards. When I opened up a card, I would immediately turn it over and just read the stats, right? Like, when was this person a rookie? What's his batting average? How many home runs has he hit? what teams he played for. So I just loved being inundated with that knowledge and just, you know, the pictures and getting to know more of the players. It's just all of it. But Sean grew up. He got married, had three kids and became an accountant. And collecting baseball cards became just another childhood memory until 2024 when he walked into a collector shop to buy a gift for a friend.

And when I went in there, Jessica, I was like, I was, I felt like I was a kid again. And I looked at the cards and the design of the cards was so much better than it was 30 years ago. I mean, like the picture, the feel, everything. I was like, oh my gosh, these are so, these are so nice. I love it. So that's how I got back into it. Sean ended up going to that card shop a lot, building his collection up again. And then I found out from a buddy of mine that it's like, why are you going to a local cart shop? You can buy, you can buy cards online. Like what? That sounds so awesome. This counter's a three to five hundred dollar card, fellas, all day. Sean's friend introduced him to live auctions, live streams where buyers can bid around the clock on collectible items like baseball cards. The most popular live auction app in the U.S. is called What Not.

It was so easy. It was so convenient. It was very fast-paced, but it was so easy to use. You download it on your phone, you put in your payment

information, your shipping address, and you just start swiping. Right. Right, yeah. Come on! Roman and Cag's Dullotto to 25. Holy moly. Did you find it fun at all, or like thrilling? Oh my gosh, yeah. Of course, right? Like, when you have access to that much without leaving your home, it's, yeah, right? It was very fun. But Sean says that what started out as a fun hobby turned into an addiction. Soon, thousands of cards filled box after box in his guest room. After four months on what not, Sean decided to tally up how much he had spent. I went on what not and I downloaded my activity.

to see what that total was. And you added it all up? Yep, I added it all up. And what was the total that you saw? Almost 1.4 million. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Friday, August 14th. Coming up on the show, the live shopping app where some people bid till they're broke. What not is what happens when eBay and TikTok and the home shopping network come together and have a baby. That's our colleague Hannah Kruger who covers retail. What I took the most addicting qualities of the 21st century and fused it into an app where there's shopping, there's endless scroll, there's an entertainment aspect in music and things flashing on screen. It's a really captivating intoxicating experience in the palm of your hand. What is shopping on what not like?

It's a pretty overwhelming experience for a newcomer. Can you show me how it works? Yeah, you want to see my whatnot? Hannah pulled out her phone to show me the app. Once the app loads, it presents Hannah with live streams for her to choose from. Each one features an auction, where a seller tries to entice buyers looking for a deal on things like coins and collectibles, but also everything from beef jerky to designer clothes to horse tack. And you click on one and the party starts almost immediately. You often come in and there's some time of music playing. It's, you know, EDM, metal music. There's a countdown clock happening already. At the bottom, the bid price for that item is going up rapidly. And meanwhile, there's a chat also on the screen where people are talking and fawning over the item that's being auctioned off.

And the auctioneer is speaking like an auctioneer. It's fast-paced. It goes from gentle to sometimes pretty aggressive, like, chiding of the buyers to,

come on, chat, wake up, chat. Are you gonna leave me hanging here, chat? Oh, I see we're a sleep chat. Oh, you're not gonna, like, you're not gonna help me out today, chat. Come on! What are we doing? What are we doing? What are we doing? And you can walk away with something at a discount. It's that hunt. for the deal that really animates and invigorates the experience. And if you don't like a particular host or you don't like a particular item, all you do is just swipe up and there's another auction waiting for you beneath it. That's the endless scroll coming to play of auction. Probably one of the bigger cards I've ran in my streaming career. One of my favorites. After auction. We're in LO size 42, brand new with Toggs. Guys, you're way too low. After auction.

Don't miss out, you got three, two, one. Uh-oh, sudden death steal. Sudden death steal. And so how do you bid on an item? There's like a little yellow bar at the bottom of the screen and it says bid and then it shows you a price. So to bid, you just swipe your finger across that to bid at the price that they're recommending. You could bid on a price that you've entered yourself, but that would require yourself typing it in, which... by the time you've finished typing it in, you've probably already been outbid. So you have seconds to make your bid, basically. Seconds, yeah. It's not a lot of time to really think about it, yeah. Exactly. And then so what happens if I win an auction? You know, when I'm online shopping, right, you buy a thing, you put it in your cart, takes you to a confirmation screen, checks your address, your billing information and all of that. Is that also what happens here? Oh, yes, no. So you literally will just be on a feed. You want...

those Birkenstocks and you swipe at the bottom until you win the bid and the next item comes up for sale. And it says Hannah Kruger or whatever my username is won the auction and the next item and the next item. And you only really have a sense of what you bought if you check your email or when you open it up at your doorstep in a box. Oh, wow. Okay. Whatnot's auctions with their high-pressure countdowns and high-energy hosts encourage buyers to spend and the app's design gets rid of almost every hurdle they'd normally encounter when shopping online. Whatnot has removed almost all the friction from shopping and in doing so has made it incredibly easy for people to spend their money on this app. For some that's

very fun, and there's a degree of, I don't know, escapism, and maybe there's a potentiality that you're going to get a nice handbag for a fraction of the price that you could get it when you're using a traditional website. For others, that means you might not have as much knowledge about what you're spending, how you're spending it, and how quickly you're spending it. Live auctions aren't unique to whatnot. Other companies like TikTok, eBay, and Fanatics offer them too.

But according to Whatnot, which has been around since 2019, it holds nearly 60% of the live commerce market in North America and Europe. The company takes an average cut of 6% of each sale. In its latest funding round, Whatnot was valued at 20 billion. One of the app's many users was Sean Harding, who you heard from at the start of the episode. He started bidding on Whatnot in late 2024 after rediscovering his love of baseball cards. By then, Sean had figured out that he could actually make money buying and selling those cards. You can just buy singles, like just single cards and potentially send them off to get a good grade and make money. So at first I go on whatnot and I'm buying singles. I'm buying singles left and right. I'm not spending too much. But then I start seeing these what they call breaks. Breaks.

These are what generate some of the most feverish, hyped-up auctions on what not. All right, guys. Thank you so much for coming in for the first break of the evening. In a break, a seller puts up an unopened box of cards for auction. The box can cost thousands of dollars, with a promise that maybe there are some valuable cards inside. Instead of bidding on the whole box, a buyer can pay for a designated share of the box, like cards for a particular sports team. In essence, they're buying a chance to get a valuable card. All right, guys, let's do it. Good luck, everybody. Here we go. No one, neither the buyers nor the sellers, knows what cards are inside. How about Clemens? How about Roger Clemens there? Sick. You could get something very big or you could get nothing at all. And were most of your bids on breaks? Oh, yes. Yep. And some of these channels had breaks where you could win five-digit cards. Like, yeah, tens of thousands of dollar cards. But of course, right? You have to bid more. Whatnot says that sellers who offer breaks only make up 4% of sellers on the platform. The company declined to say how much revenue breaks generate. But there is a lot of

money flying around breaks. Sean remembers one break where he got cards of the Cleveland Cavaliers.

By this point, he'd expanded to collecting other sports cards, not just baseball. And everyone in the chat was like, oh, yeah, great hit. You know, that's a great team that you want. And I said, OK, cool. When the cards were revealed, Sean won a great one. A LeBron James, what they call X Fractor rookie card. At that time was worth 20,000. How did you feel? Oh, my gosh. Amazing, right? You won. Yeah. Felt like a winner. I just, yeah, I felt feeling I haven't felt before. Not every break came with a win. Sometimes Sean would blow thousands of dollars on a dud, but he found himself bidding again and again. Was there a moment where you were like, I think I should just stop. Oh yeah. Eventually all the time, but I kept talking myself out of it. I kept chasing that feeling of winning.

Sean told me that ultimately his bidding on what not started to feel like gambling. So was it? That's next. After he discovered breaks, Sean Harding's spending on what not skyrocketed. By the end of January 2025, he was spending as much as 12,000 a day. How often were you bidding on breaks? It got to the point, Jess, where I was on the phone bidding every night. Every night on these high-end breaks every night As soon as the kids were in bed, I would either go in the office or I would hide in my guest room and just be on whatnot I would be folding laundry my kids laundry with my phone on my lap watching auctions So yeah Every every minute I was awake Did it feel good still to do that to know that like this you were like looking forward to those Moments or oh, yeah, I was looking forward to it. Yeah, I knew deep down that there was probably something going on like there was it was a problem but You know the bad conscience over here is like nope Right, right? Like, you know, you can win again. You've already done it before right when some more Yeah, yeah, I said of mine was I have to keep bidding because I've Spent so much money. I didn't know how much because I didn't want to look But I spent so much that I need to figure out a way to win it back Right almost like that gambler's mentality, right? You know that I'm chasing. I'm starting to chase losses Other whatnot users have also said that the app enabled their gambling addictions Earlier this year a consumer protection attorney filed arbitration demands against the company on behalf of more than 70 clients The complaint alleges that

Whatnot's card breaks constitute illegal lotteries under California law and that the company is operating a criminal enterprise in violation of racketeering laws. The complaint also claims that Whatnot operates an online casino, quote, without providing the safeguards required of regulated gambling operations. Here's our colleague Hannah again. That's the thorn in Whatnot's side at the moment is that there are lawsuits that are claiming that it's a gambling enterprise.

What does the company said about this comparison to online gambling? Like the line between live auctions and gambling as what not sees it. What not categorically rejects that gambling happens on its site and the distinction that it often points to is that people on what not will always walk away with a physical item. Whereas in a casino you can pull the lever on a slot, you can show up to a blackjack table and walk away with literally empty hands. So that is the distinction. Obviously that card that the person's walking away with could be worth one dollar and they could have paid a thousand dollars for it. But at the end of the day, they're not empty handed. And that is the line that whatnot strikes repeatedly when it comes up to this. And how does that argument hold up in the eyes of, you know, gambling regulators?

It's really something that's only started percolating in the last couple months and it's not something that's really they've had to contend with in court quite yet. So it'll be interesting to see how it plays out and if judges believe that distinction is really meaningful. Whatnott says that addiction and overspending haven't registered a significant problems in external and internal data. To keep up with his spending, Sean tried selling some of the cards he'd collected. But it wasn't enough to cover his losses. Soon, Sean was tapping his credit cards, taking out personal loans, and borrowing from his friends. He used that to place more bids on whatnot, hoping to win money back. Then, he came across a break he couldn't pass up, from a seller he bought from often. And they said, hey, how about I make you this great deal on these teams? And I was like, oh man, I don't have the money. And then I remembered, I'm like, oh.

I have my company credit card. Using his company's credit card, Sean spent 10,000 to buy into the break. I'll just do it one time. I'll just put it in one

time. It'll be fine. And I'll win some cards and then I'll take it out and I don't have to worry about it again. And I put it in the app and I had some big cards. I had some really good cards. I said to myself, Oh my gosh, I got away with it the first time. I can just do it again, right? Sean's employer didn't suspect a thing. In fact, he was the accountant in charge of keeping an eye on the company card. But his wife was getting suspicious. She had asked Sean for a credit report after he had used their joint credit card to make bids on whatnot. Before he gave her the report, Sean removed two pages that showed two personal loans.

My wife was an auditor. We actually met and as we were both accountants to start And she came down and she said Shawn why are there two pages missing and of course I tried to deny it and I eventually told her Yeah, there were two personal loans on there. I didn't want you to worry about it. I had whatever excuse I can make up And then she said you just need to tell me everything that's going on Shawn came clean and confessed everything The next day, he went to a gambler's anonymous meeting. Soon after, Sean resigned from his job and his marriage fell apart. Sean also downloaded his purchase history from whatnot and tallied up the money he had spent in just four months. 1,362,687.31. What went through your mind in that moment? How did you feel? Oh my gosh.

Pretty sure I broke down. And we, I basically said, I had no idea. I was so disconnected from what was actually going on. It was like my mind and my body were in two different places. So I had no idea what to do. I feel like up until recently, and when I say recently, like the last couple of decades, there was infrastructure to shopping that had restraint. elements to it, right? Like the store closed at six. You had to drive to that store. You waited in line sometimes. You had to remember to bring your credit card or cash. But Whaton has none of that. There's no restraint built into the app. It is frictionless, as we've described. And Whaton has succeeded in making this as convenient as possible. And I feel like that's a trend among just the economy and any type of experience that you can have in America right now is that we're trying to make it as convenient as possible. But I think whatnot begs the question of at what cost? And do we need things like spending our money on slime or a thousand dollar cards to be so convenient that we don't even remember how much we spent? Yeah. But at the end of

the day, though, right, it's the buyers who are making this purchases. What does it say about the app that it can encourage people to spend so much. It's interesting. Yeah, I mean, I think it says that it shows that if you add the intoxicating elements of TikTok and endless scroll and the social chat room of Instagram and you put all these things into the shopping experience, you can make people actually want to part with their money even for junk that they've never seen or might not use and or didn't even know they wanted 30 seconds ago. As for Sean, he says he still thinks what not is a good shopping app for people who want to find deals. But I feel like there needs to be some guardrails or things in place that help users right now what they're getting into, because they can be dangerous. What do you think would have been helpful to you? Like what kind of guardrails would have been useful? I think that having a confirmation, right? Maybe even just an extra second to think, all right, is this the right? Am I making the right decision? I don't know if that would have necessarily changed anything for me. Maybe it would, maybe it wouldn't, you know, something or some sort of limit, right? Like I know a lot of online sports books, embedding apps or have a limit on how much you can buy in a day, you know, something to help protect consumers.

Recently, Whatnot has been trying out some of these measures. Last year, the company introduced optional spending limits and watch time caps. And last month, it rolled out an additional tool that pauses spending immediately. Whatnot says it also plans to test an option to add a passcode before purchases to add more friction. It will also test out flagging information to users who show a sudden spike in spending. For over a year now, Sean has been in recovery. He hasn't participated in a break since April, 134 days, and he's working to pay back his debts, including to his former employer. I'll probably be paying him back for a long time. So, yep. But at least with the cards, I sold my house, emptied out my retirement, my savings. So it was a start. Luckily, I had at least something to pay him back.

He also leads meetings at Collectors MD, a peer support group for collectors struggling with compulsive spending. Right now I just want to be there for my kids, really. But yeah, I want to, I guess, just be better going forward and help wherever I can, right? Like part of recovery is giving back. So that's where I'm at. That's all for today, Friday, August 14th. The

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Katherine Whalen, Tatiana Zamees, and me, Jessica Mendoza. Our engineers are Griffin Tanner, Nathan Singapok, and Peter Leonard. Our theme music is by So Wiley. Additional music this week from Katherine Anderson, Peter Leonard, Bobby Lord, Emma Munger, Nathan Singapok, Griffin Tanner, So Wiley, Epidemic Sound, and Blue Dot Sessions. Fact-checking this week by Jennifer Goran and Nicole Pasulka. Thanks for listening. See you Monday.